

INSURANCE AND PENSIONS COMMISSION



QUARTERLY REPORT FOR FUNERAL ASSURERS

FOR THE PERIOD ENDED 30 SEPTEMBER 2015

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2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q1	First Quarter
Q3	Third Quarter
'15	2015
'14	2014
H1	Half year
Var	Variance
NOTE:	ALL MONETARY FIGURES ARE IN USD

3.0 Industry Overview

The funeral industry wrote \$26.9 million in net premiums (Sep 2014: \$28.2 million). The premiums written this year are 5% less than the premiums underwritten for the same period last year. Total costs increased by 3% compared to 2014 to close the period at \$22.3 million. Cumulative technical profit for the period was \$4.6 million (Sep 2014:\$6.5 million).The expense and combined ratios were reportedly 56% and 82% respectively (Sep 2014:51% and 77%).

As at 30 September 2015, total industry assets were \$49.3 million, an 8% growth from \$45.6 million reported for the same period last year.

The prescribed assets are still below the required 7.5% with the average remaining below 1%.

Table 1, below summarizes the aggregated financial indicators of the funeral assurance industry.

Table 1: Summary of Financial Performance by the Funeral Assurance Industry for the Period Ended 30 September 2015

Financial Aspect	Funeral Assurers		
	Sep-14	Jun-15	Growth
Gross Premiums Written(\$000)	28,189	26,909	-5%
Net Premiums Written (\$000)	28,178	26,908	-5%
Retention Ratio	100%	100%	0%
Total Gross Claims (\$000)	7,184	7,093	-1%
Total Net Claims (\$000)	7,184	7,093	-1%
Management Expenses (\$000)	12,015	13,023	8%
Commissions (\$000)	2,461	2,150	-13%
Total Costs(\$000)	21,660	22,266	3%
Technical Profit(\$000)	6,518	4,642	-29%
Expense Ratio	51%	56%	5%
Claims Ratio	26%	26%	0%
Combined Ratio	77%	82%	5%
Total Assets (\$000)	45,638	49,271	8%
Total Liabilities (\$000)	16,587	24,780	49%
Current Assets	17,743	15,530	-12%
Current Liabilities	10,690	12,251	15%
Capital(\$000)	29,058	24,491	-16%
Capital to liability Ratio	175%	95%	-80%
Prescribed Assets (\$000)	56	108	93%

4.0 Update on Operations

The table below shows the total number of registered agents as at 30 September 2015 and the total workforce employed by the funeral industry for the same period. Players are encouraged to ensure that all agents are registered with the Commission. The 9 institutions have total registered agents of 707 as at 30 September 2015.

Table 2: Registered Agents and Operational Staff

Name Of Company	Corporate Agents	Sole Agents	Staff
Cell	0	2	13
Doves	0	90	60
First Funeral	0	60	48
Foundation	0	18	28
Moonlight	0	499	356
Passion	0	4	5
Ruvimbo	0	13	50
Sunset	0	10	13
Vineyard	3	11	58
Total	3	707	633

For the half year ended 30 September 2015, players wrote \$26.9 million in Net Written Premiums (Sep 2015:\$28.2million), a negative 5% growth compared to the same period last year (See Table 3, below).

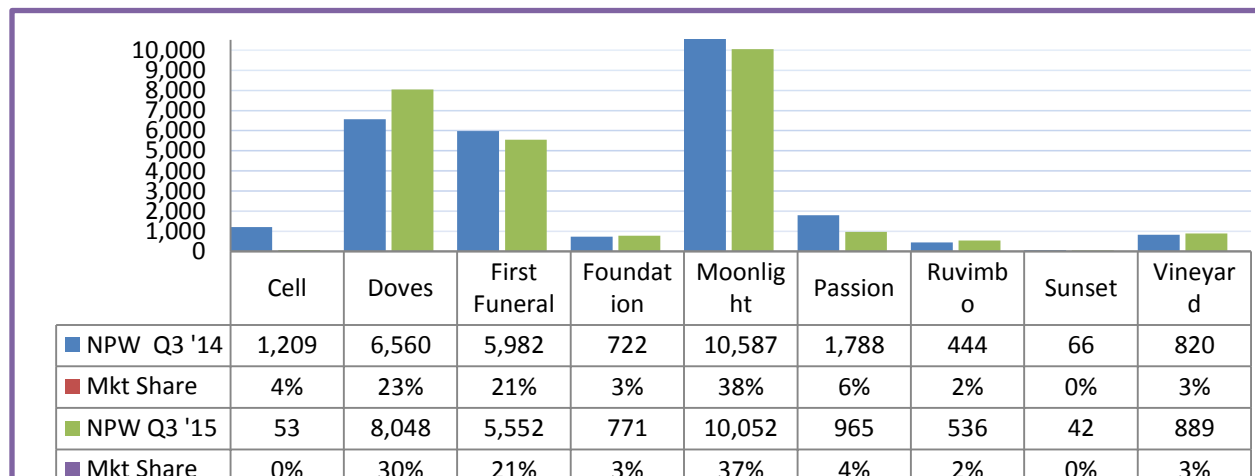
Table 3: Net Premium Distribution by Company for the Period Ended 30 September 2015

Name Of Company	Sep 2014(000)	Sep 2015(000)	Growth
Cell	1,209	53	-96%
Doves	6,560	8,048	23%
First Funeral	5,982	5,552	-7%
Foundation	722	771	7%
Moonlight	10,587	10,052	-5%
Passion	1,788	965	-46%
Ruvimbo	444	536	21%
Sunset	66	42	-36%
Vineyard	820	889	8%
Total	28,178	26,908	-5%

For the period ended 30 September 2015; three funeral assurers wrote 88% of net business with the remaining six players sharing the balance of 12% of the business.

The Commission encourages the industry to draw competitive advantages from product differentiation, distribution networks and reinsurance among others.

Figure1: Market Share by Net Premium Written for the Period Ended 30 September 2015 (Cumulative)



5.0 Business Composition

For the period under review, the industry wrote \$26.9 million in gross premiums.

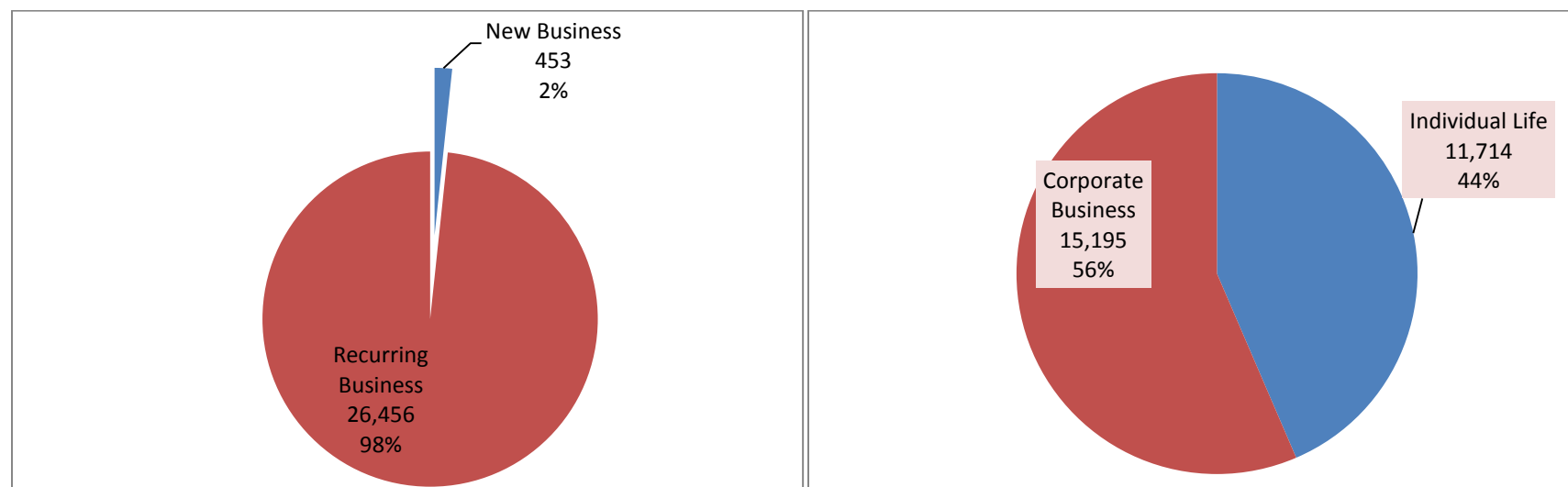
In the period under review, Individual life business generated 44% of the total business underwritten while corporate business contributed 56% of the gross premiums written by the funeral industry. With only 2% of the total business underwritten, new business has been rather elusive with the balance of 98% being recurring in nature.

The composition of business underwritten for the period ended 30 September 2015 is as shown in table 4 and Figure 2 below.

Table 4: Business Composition by Company for the Cumulative Period Ended 30 September 2015

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Sep-14	Sep-15	Growth (%)	Sep-14	Sep-15	Growth (%)	Sep-14	Sep-15	Growth (%)	Sep-14	Sep-15	Growth (%)	Sep-14	Sep-15	Growth (%)
Cell	0	0	0%	406	0	-100%	0	1	0%	813	53	-93%	1,219	54	-96%
Doves	31	40	29%	991	1,082	9%	97	135	39%	5,440	6,790	25%	6,559	8,047	23%
F. Funeral	39	10	-74%	5,943	5,541	-7%	0	0	0%	0	0	0%	5,982	5,551	-7%
Foundation	3	7	133%	719	764	6%	0	0	0%	0	0	0%	722	771	7%
Moonlight	0	65	0%	137	3282	2296%	169	0	-100%	10,281	6,705	-35%	10,587	10,052	-5%
Passion	20	19	-5%	510	304	-40%	47	36	-23%	1,211	606	-50%	1,788	965	-46%
Ruvimbo	0	74	0%	210	146	-30%	0	32	0%	235	285	21%	445	537	21%
Sunset	0	0	0%	67	42	-37%	0	0	0%	0	0	0%	67	42	-37%
Vineyard	2	5	150%	265	333	26%	8	29	263%	545	523	-4%	820	890	9%
TOTAL	95	220	132%	9,248	11,494	24%	321	233	-27%	18,525	14,962	-19%	28,189	26,909	-5%

Figure 2: Business Composition for the Cumulative Period Ended 30 September 2015 (000)



7.0 Not-taken Up policies and Lapsed Policies

For the current reporting period, funeral assurers reported not-taken up policies amounting to \$261 000. As a percentage of total premiums for the half year ended 30 September 2015, it represents an average of 1 % of written business volumes. We continue to encourage players to curb policy mis-selling by ensuring that their agents have been sufficiently trained and are qualified as prescribed by the Commission. Table 5, below shows the detailed lapse ratios for the half year.

Table 5: Not-taken up policies and Lapsed Policies

	Not Taken Up Policies	Lapse Ratios	
	Total Premiums(000)	Individual (%)	Group Bus (%)
Cell	3	0	0
Doves	0	0	0
First Funeral	17	100	0
Foundation	0	60	0
Moonlight	15	0	93
Passion	0	0	0
Ruvimbo	226	27	20
Sunset	0	0	0
Vineyard	0	7	8
Total	261	N/A	N/A

8.0 Claims Aged Analysis

The total outstanding claims for the period amounted to \$57 000. Funeral companies should ideally have only current claims as outstanding, given the urgent need for timely claim settlements in funeral assurance.

Table 6: Claims Aged Analysis (000)

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	9	0	11	0	3	0	0	4	0	27
31-60days	0	0	5	0	0	0	0	0	0	5
61-90days	0	0	0	0	0	0	0	0	0	0
91-120days	0	0	0	0	0	0	0	0	0	0
<121 days	0	0	0	25	0	0	0	0	0	25
Reinsurance	0	0	0	0	0	0	0	0	0	0
Total	9	0	16	25	3	0	0	4	0	57

9.0 Debtors Aged Analysis (000)

For the current reporting period, the industry recorded total premium debtors amounting to \$2.8 million or 10% of the total premiums underwritten by the industry. Players are encouraged to come up with policies which are in tandem with income levels of prospective policyholders as an attempt to minimize incidences of premium debtors.

The table below shows the aged debtors for the current period.

Table 7: Debtors Aged Analysis

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	4	0	0	14	317	40	0	0	139	514
31-60days	6	0	41	4	387	36	10	0	111	595
61-90days	3	0	124	6	305	34	37	0	32	541
91-120days	0	0	0	1	240	24	32	0	19	316
<121 days	0	0	0	68	313	322	27	0	82	812
Total	13	0	165	93	1562	456	106	0	383	2778

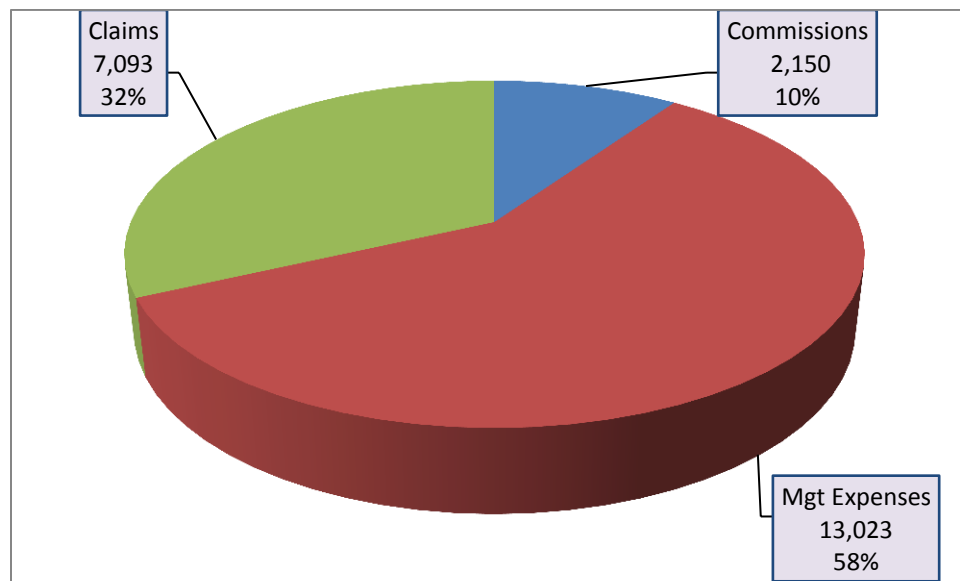
10.0 Earnings

The key earnings indicators for the funeral assurance industry are as shown in Table 8 and Figure 3 below.

Table 8: Key Earnings Indicators by Company for the Cumulative Period Ended 30 September 2015

Co. Name	NPW(000)		Claims (000)			Commissions(000)			Management Expenses(000)			Total Costs(000)			Combined Ratio		
	14-Sep	15-Sep	14-Sept	15-Sep	Growth	14-Sep	15-Sep	Growth	14-Sep	15-Sep	Growth	14-Sep	15-Sep	Growth	14-Sep	15-Sep	Growth
Cell	1,209	53	29	9	-69%	5	0	-100%	614	70	-89%	648	79	-88%	54%	149%	95%
Doves	6,560	8,048	3,289	3,217	-2%	551	639	16%	2,399	2,027	-16%	6,239	5,883	-6%	95%	73%	-22%
F/Funeral	5,982	5,552	1,667	1,594	-4%	1,327	1,061	-20%	1,469	1,533	4%	4,463	4,188	-6%	75%	75%	0%
Foundation	722	771	75	105	40%	46	63	37%	538	551	2%	659	719	9%	91%	93%	2%
Moonlight	10,587	10,052	1,687	1,749	4%	479	342	-29%	5,850	7,644	31%	8,016	9,735	21%	76%	97%	21%
Passion	1,788	965	221	234	6%	5	3	-40%	441	487	10%	667	724	9%	37%	75%	38%
Ruvimbo	444	536	44	46	5%	12	20	67%	261	344	32%	317	410	29%	71%	76%	5%
Sunset	66	42	1	0	-100%	2	2	0%	29	22	-24%	32	24	-25%	48%	57%	9%
Vineyard	820	889	171	139	-19%	34	20	-41%	414	345	-17%	619	504	-19%	75%	57%	-18%
Total	28,178	26,908	7,184	7,093	-1%	2,461	2,150	-13%	12,015	13,023	8%	21,660	22,266	3%	77%	83%	6%

Figure 3: Cost Distribution for the Period Ending 30 September 2015



For the period under review, operational costs amounted to \$13 million or 58% of total costs (Sep 2015: \$12 million or 56%); claims- \$7 million or 32% and total commission was 10% (\$2.1 million) of total costs.

The industry recorded an average combined ratio of 83% (Sep 2014: 77%) and claims ratio of 26%.

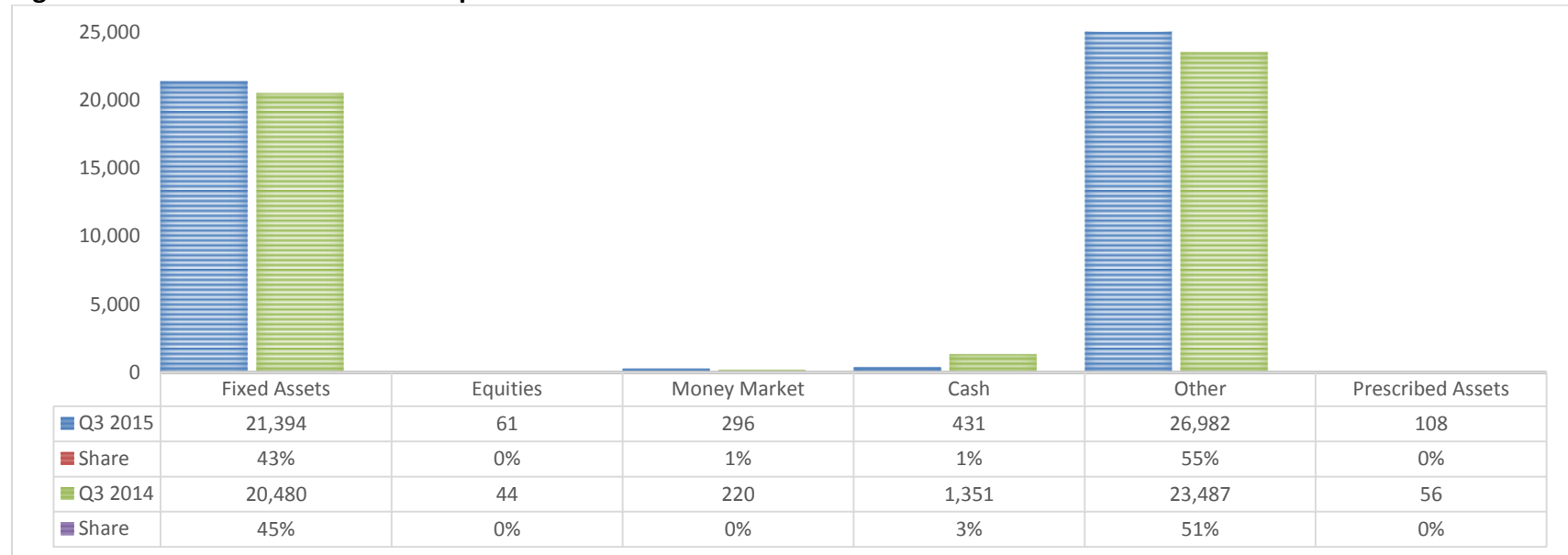
11. Asset Quality

The total asset base of the funeral industry as at 30 September 2015 was as illustrated in Table 9 and Figure 4 below.

Table 9: Funeral industry Asset Base as at 30 September 2015

Company	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets(000)			Total Assets (000)		
	Sep-14	Sep-15	Var	Sep-14	Sep-15	Var	Sep-14	Sep-15	Var	Sep-14	Sep-15	Var	Sep-14	Sep-15	Var	Sep-14	Sep-15	var	Sep-14	Sep-15	Growth
Cell	318	890	180%	19	16	-16%	0	118	0%	861	0	-100%	67	79	18%	0	0	0%	1,265	1,103	-13%
Doves	3,858	3,529	-9%	6	5	-17%	103	103	0%	209	283	35%	11,343	13,294	17%	17	23	35%	15,536	17,237	11%
F/Funeral	1,247	1,060	-15%	16	37	131%	0	0	0%	74	28	-62%	5,914	7,400	25%	0	0	0%	7,251	8,525	18%
Foundation	1,395	1,395	0%	0	0	0%	44	35	-20%	17	30	76%	622	686	10%	9	48	433%	2,087	2,194	5%
Moonlight	9,055	9,758	8%	0	0	0%	0	0	0%	11	12	9%	3,432	3,335	-3%	16	16	0%	12,514	13,121	5%
Passion	639	640	0%	0	0	0%	41	0	-100%	134	28	-79%	731	561	-23%	0	0	0%	1,504	1,229	-18%
Ruvimbo	1085	1,094	1%	0	0	0%	0	0	0%	0	7	0%	757	1,039	37%	2	2	0%	1,885	2,142	14%
Sunset	1,695	1,699	0%	0	0	0%	0	0	0%	0	1	0%	19	0	-100%	0	0	0%	1,714	1,700	-1%
Vineyard	1188	1,329	12%	3	3	0%	32	40	25%	45	42	-7%	602	587	-2%	12	19	58%	1,882	2,020	7%
Total	20,480	21,394	4%	44	61	39%	220	296	35%	1351	431	-68%	23,487	26,982	15%	56	108	93%	45,638	49,271	8%

Figure 4: Total Asset Base as at 30 September 2015



As at 30 September 2015, the total asset base was highly skewed towards fixed assets-43% or \$21million (Sep 2014:44% or \$20million), equities-\$0.061million or 0%(Sep 2014: 0.044million or 0 %), money market-\$0.296 million or 1 %(Sep 2014: 0.22 million or 0%) cash assets-1% or \$0.43million (Sep 2014:\$1.351m or 3%) and other assets-\$27million or 55% (Sep 2014: 52% or \$24 million). The uptake of prescribed paper has been low. The industry is reminded to stick to its proposed compliant plans.

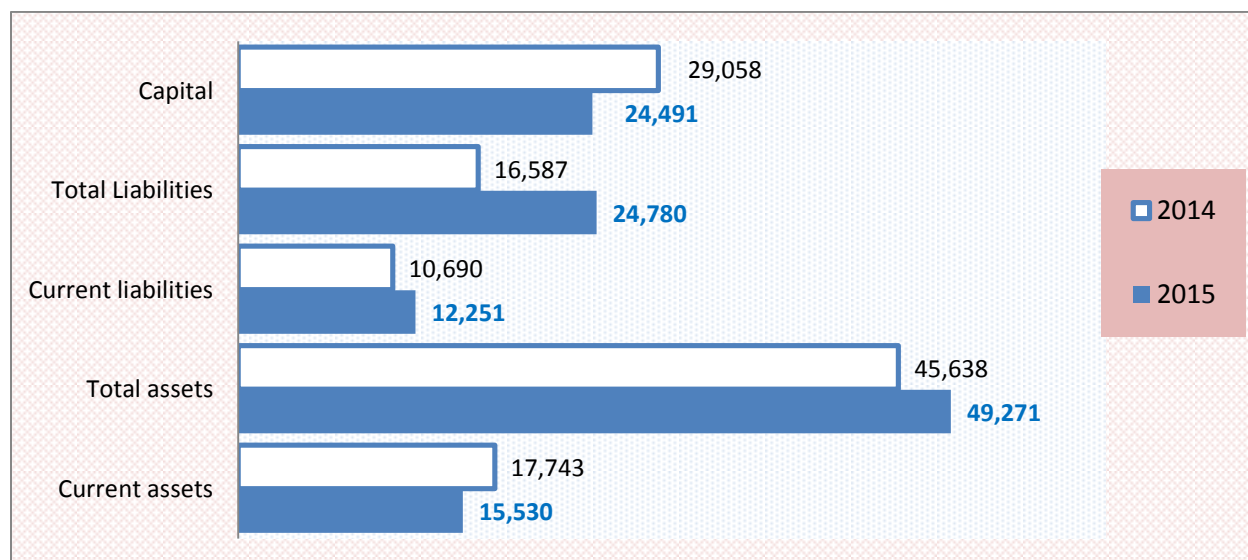
12. Capitalization and Solvency

The Commission has been engaging with the three entities with capital levels below the minimum required capital level of \$1.5 million. Players reported average liquid ratios of 127%.

Table 10: Levels of Capitalization, Liquidity and Solvency Indicators as at 30 September 2015

Company	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)		
	14-Sep	15-Sep	%	14-Sep	15-Sep	%	14-Sep	15-Sep	14-Sep	15-Sep	%	14-Sep	15-Sep	%	14-Sep	15-Sep	%	14-Sep	15-Sep	%
Cell	948	213	-78%	1085	293	-73%	1,265	1,103	1,085	399	-63%	180	704	291%	17%	176%	159%	87%	73%	-14%
Doves	5,402	7,482	39%	1508	1,224	-19%	15,536	17,237	2,154	6,973	224%	13,380	10,264	-23%	621%	147%	-474%	358%	611%	253%
F/Funeral	6,004	2,534	-58%	374	156	-58%	7,251	8,525	699	2,796	300%	6,552	5,729	-13%	937%	205%	-732%	1605%	1624%	19%
Foundation	509	540	6%	456	465	2%	2,087	2,194	1,755	1,607	-8%	332	587	77%	19%	37%	18%	112%	116%	4%
Moonlight	3,443	3,347	-3%	6,299	8,848	40%	12,514	13,121	9,755	11,517	18%	2759	1,604	-42%	28%	14%	-14%	55%	38%	-17%
Passion	715	427	-40%	307	380	24%	1,504	1,229	307	380	24%	1197	849	-29%	390%	223%	-167%	233%	112%	-121%
Ruvimbo	195	446	129%	382	621	63%	1,885	2,142	382	621	63%	1,511	1,521	1%	396%	245%	-151%	51%	72%	21%
Sunset	0	2	0	134	123	-8%	1,714	1,700	134	123	-8%	1,580	1,577	0%	1179%	1282%	103%	0%	2%	2%
Vineyard	527	539	2%	145	141	-3%	1,882	2,020	316	364	15%	1567	1,656	6%	496%	455%	-41%	363%	382%	19%
Total	17,743	15,530	-12%	10,690	12,251	15%	45,638	49,271	16,587	24,780	49%	29,058	24,491	-16%	175%	95%	-80%	166%	127%	-39%

Figure 5: Levels of Capitalization, Liquidity and Solvency Indicators



13.0 Summary Of Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 10: Issued Circulars and Statutory Instruments for the Quarter

Details	Subject Matter	Issue Date
Circular 1 of 2015	Clarification of the implementation of circular 2 of 2013, 1 of 2014 and circular 8 of 2014	
Circular No. 3. Of 2015	Risk Survey : Feedback on Results	10 September 2015
Circular No. 2. Of 2015	JOINT PAAB- IPEC New Auditors Report Programme: Half Day Seminar at Cresta Lodge: 13 August 2015	28 July 2015

Table 11: List of Approved Prescribed Asset Paper

Issuer	Amount	Bond Description	Coupon rate	Issue date
CABS	\$62.8 million	To fund the servicing and construction of low cost houses in Budiriro	10% p.a	March 2015
Agribank and FBC	\$10 million	Support the 2015/2016 agricultural season	10%	September 2015
Agricultural Marketing Authority (AMA Bills)	\$50 million	Finance the purchase of grain by the Grain Marketing Board	10.5%	September 2015
ZB Agro Bills	\$5 million	Support the 2015/2016 agricultural season	8%	September 2015
Homelink	\$15 million	Development of stands and construction of housing units		

Conclusion

The period ending 30 September 2015 indicates that funeral companies are still facing challenges in premium collection. The industry is still not compliant with the prescribed assets minimum stipulated. Such a situation is unacceptable and players have to address these infringements urgently.